

Voluntary Report – Voluntary - Public Distribution

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Report Name: Diversification of Grain and Feed Supplies Continues with SPS Protocols Possibly Reached

Country: China - People's Republic of

Post: Beijing

Report Category: Sanitary/Phytosanitary/Food Safety, Oilseeds and Products, Grain and Feed, Citrus, Trade Policy Monitoring

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Report Highlights:

On May 23, 2022, the People's Republic of China (PRC) and Brazil held High-Level Committee talks. According to the press release issued by the PRC's Ministry of Commerce (MOFCOM) on May 24, the talks included several agricultural-related outcomes including, improved and new sanitary and phytosanitary (SPS) market access protocols for corn and hulled peanuts along with plans for new SPS protocols on soy protein concentrate, soybean meal, and orange fiber pellets that may be signed later. The outcomes document includes mention of cooperation in agricultural pesticides, too. In 2021, Brazil remained the largest supplier of agricultural goods to the PRC with China's import values exceeding \$45.9 billion.

Background

The PRC continues pursuing its stated policy of diversifying suppliers of food and agricultural products. This policy and goal of diversifying suppliers has been stated in several 5-year plans and other memoranda. As such, the PRC has actively pursued participation in various free trade or regional trade agreements and negotiated SPS and related market access protocols that allow Chinese firms and State-Owned Enterprises (SOEs) to import products from several different origins as market conditions allow or political climate dictates.

PRC – Brazil High Level Talks

On May 24, MOFCOM issued a press release (link in [Chinese](#)) listing several agreed upon outcomes from the talks. An unofficial machine translation of the release is attached. Some of the outcomes signal that China is opening or preparing to open its market further to Brazilian agricultural products including corn and hulled peanuts and should soon finalize the documents and requirements to allow for soy protein concentrate, soybean meal, and orange fiber pellets. Additionally, the outcomes document lists the two countries will cooperate in the field of agricultural pesticides. At this time, there is no additional information on the SPS protocols or what is meant by cooperation in the field of pesticides. An excerpt of the relevant portions related to agriculture from the MOFCOM press release follow:

(5) The General Administration of Customs of China (GACC) and the Brazilian Ministry of Agriculture signed the Protocol on Phytosanitary Requirements for Exporting Brazilian Corn to China (Revised Edition) and the Protocol on Sanitary and Phytosanitary Requirements for Exporting Brazilian Peanuts (Hulled) to China. Agreements such as the Protocol on Sanitary and Phytosanitary Requirements of China for Exporting Brazilian Soy Protein, the Protocol on Sanitary and Phytosanitary Requirements for the Export of Brazilian Orange Fiber Pellets to China, and the Protocol on Sanitary and Phytosanitary Requirements for the Export of Brazilian Soybean Meal to China will further promote the development of agricultural trade between the two countries.

(6) The Ministry of Agriculture and Rural Affairs of China and the Ministry of Agriculture of Brazil agreed to sign a memorandum of understanding on pesticide cooperation to deepen cooperation in the field of pesticides.

As of May 25, the GACC website that publishes “[Latest Articles](#)” or “[GACC Press Announcements](#)” (links in Chinese) has not issued any new items related to Brazil.

PRC Imports of Brazilian Agricultural Products

In 2021, Brazil was the largest supplier by value of agricultural products to China with import values exceeding \$45.9 billion. In 2021, Brazil's leading agricultural exports to China included: Soybeans (\$33.2 billion), Beef and Beef Products (\$4.6 billion), Sugars and Sweeteners (\$1.8 billion), Pork and Pork Products (\$1.7 billion), Poultry Meat and Products (\$1.5 billion), and Cotton (\$1.2 billion). Please see the attached table for information on the growth of the PRC's imports of Brazilian agricultural products since 2017. According to China Customs data for the first 3 months of 2022, imports from Brazil are significantly greater owing to a rebound in soybean trade which had suffered problems in 2021. Many of China's other imports from Brazil, however, have fallen compared to last year.

Attachments:

[220524 MOFCOM PRC Brazil 6th High Level Talks unofficial translation.docx](#)

[220525 PRC Ag Imports from Brazil by Value to March 2022.xlsx](#)